

Impact of prompt corrective action framework of RBI on corporate governance of weak banks

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ABSTRACT: This research paper reviews the impact of ‘Prompt Corrective Action Framework of Reserve Bank of India’ on the Corporate Governance of Weak Banks. The PCA Framework envisaged imposition of certain corrective measures at the beginning stage by the RBI in respect of the banks which have become weak on account of erosion in their capital owing to either increase in the level of non performing assets or losses incurred by them. The PCA Framework aims to enable timely supervisory intervention and requires banks to take corrective measures to restore their financial health. The aim is to improve financial health of weak banks and arrest further deterioration. Banks are placed under PCA Framework, when they trigger certain financial parameters related to capital, asset quality, and profitability. The corporate governance impact are (a) restrictions on dividend distribution, branch expansion and management compensation (b) restrictions on certain types of risky lending (c) enhanced monitoring by RBI (d) initiating appropriate measures to manage financial infirmities & risks. The study infers empirically as how all the weak banks which were placed, under PCA Framework, in April 2017, were nursed back to health by (i) augmentation of their capital, (ii) by taking measures to preserve capital and (iii) by providing appropriate level of provisions for losses incurred by them. It has been observed that the corporate governance of all the weak banks, which were placed under PCA Framework of RBI, in 2017, improved considerably, so much so, that all the affected banks have since come out of PCA Framework of RBI.

Keywords: Prompt Corrective Action Framework of RBI, PCA Framework, Corporate Governance of Weak Banks, Financial Stability of Weak Banks, Capital Adequacy, NPA, Return on Assets

1 INTRODUCTION AND REVIEW OF LITERATURE

1.1 *The prompt corrective action framework of Reserve Bank of India*

The United State of America was the first country, in 1991, to introduce ‘Prompt Corrective Action’ (PCA) on banks which had become vulnerable due to erosion of their capital. Thereafter PCA was introduced in Peru in 1996, in Philippines, as well as, in Japan in 1998. The PCA was introduced in India for the first time in 2002 and thereafter it was revised in 2017. In 2014, The European Union has introduced, a similar regime known as ‘Early Intervention Measures’ (EIM).

The revised ‘Prompt Corrective Action’ (PCA) Framework of Reserve Bank of India was imposed on 12 weak banks, in April 2017, with a view to strengthen the financial stability of these banks [1]. PCA Framework of RBI emphasises the desirability of systematic and

structured early intervention by RBI in respect of the banks which have registered erosion in their capital due to increase in their non-performing assets or have become weak due to losses sustained by them [2].

The research work shall be undertaken to review Impact of Prompt Corrective Action Framework of Reserve Bank of India on the Corporate Governance of Weak Banks.

1.2 *Attributes of PCA framework of RBI*

The PCA Framework, mandates systematic and structured intervention, at the beginning by RBI, in case of those banks, which have become weak either due to increase in non performing assets or due to losses incurred by them. The objectives of RBI's revised PCA Framework is to strengthen the weak banks by augmenting capital, by making appropriate provisions for losses, by improving quality of assets and by improving profitability [3]

1.3 *Objectives of the PCA framework of RBI (Source: RBI Notification 2017)*

1.	Identification of weak banks
2.	Imposition of corrective measures
3.	Arresting further financial deterioration of weak banks
4.	Maintaining stability of banking sector
5.	Prompting Banks to take pro-active steps to improve their financial strength

1.4 *Names of Banks placed under PCA framework of RBI in 2017*

The Reserve Bank of India, imposed in April 2017, the revised 'Prompt Corrective Action' (PCA) Framework on the following 12 banks, which did not meet norms in respect of capital, asset quality and profitability [4].

Public Sector Bank	
S.N.	Name of Bank
1.	Allahabad Bank
2.	Bank of India
3.	Bank of Maharashtra
4.	Central Bank of India
5.	Corporation Bank
6.	Dena Bank
7.	IDBI Bank
8.	Indian Overseas Bank
9.	Oriental Bank of Commerce
10.	UCO Bank
11.	United Bank of India
Private Sector Bank	
12.	Dhanlaxmi Bank Ltd

4 DETAILS OF PCA FRAMEWORK OF RBI

The Reserve Bank of India is responsible for regulating, supervising and controlling banking industry in India.[4] To safeguard the interests of depositors and to ensure that banking

sector in India remains stable, RBI introduced the revised Prompt Corrective Action Framework in April 2017 to identify weak banks and to initiate appropriate measures to augment their capital, improve their quality of assets and enhance their profitability.

Reserve Bank of India, as the supervisor of banking industry is required to ensure that banks maintain stipulated levels of (i) capital base, (ii) non performing assets and (iii) profitability so that their operations are sustainable and interests of depositors are safe. [5]The PCA Framework of RBI, which was imposed on weak banks in April 2017, stipulated three categories of risk thresholds depending upon the parameters related to capital adequacy (CRAR), non performing assets (Net NPA) and return on assets (RoA) of these banks .

4.1 *Three risk thresholds of PCA framework of RBI*

Depending upon (i) CRAR, (ii) Net NPA and (iii) RoA, the weak banks were categorized by RBI into three categories:

- (i) Least Risk,
- (ii) Moderate Risk
- (iii) High Risk

RBI, under PCA Framework, imposed corrective measures on weak banks ranging from:

- (i) Enhanced monitoring
- (ii) Restricting lending to risky segments
- (iii) Augmentation of capital
- (iv) Change of management

Reserve Bank of India, under PCA Framework prompted the banks to adopt corrective measures in a time bound manner to arrest further worsening of their financial position.

4.2 *Measures taken under PCA framework of RBI*

[6]The Prompt Corrective Action Framework of RBI, stipulated imposition of one or more of the following measures on weak banks depending upon the severity of their financial parameters relating to their (i) capital, (ii) assets quality and (iii) profitability.

S.N.	Measures Which Can Be Enforced By RBI On Weak Banks
1	Restriction on branch expansion
2	Restriction on dividend distribution
3	Setting limit on high risk lending
4	Enhanced monitoring by regulator (RBI)
5	Imposing requirement for maintaining higher capital reserve
6	Setting target for reducing NPA
7	Imposing measures to manage financial weaknesses & risks
8	Change of top management
9	Merger of weak bank(s) with strong bank(s)

5 CAPITAL IS THE BIGGEST STRENGTH OF BANKS

Capital Provides Cushions Against Losses: The capital of a bank is the primary mean of protection and acts as a buffer against any possible losses suffered by it. [7]Higher is the capital, better is the financial strength of bank and higher is the security it offers to the depositors. Higher level of capital ensures that the bank will continue to remain in business. On other hand, if capital level is depleting due to any reason, it exposes all the stake holders,

including the depositors to risk. Hence, capital is the single most important parameter to determine financial strength of a bank. Keeping in view the importance of bank capital in absorbing losses, capital adequacy norms are in place globally and it is why capital becomes one of the most important factors for Central Banking Authorities to monitor the banks.

5.1 *Impact of PCA framework of RBI on Corporate Governance of Weak Banks*

(Source: Press Release Ministry of Finance dated 20 March, 2023)

The Reserve Bank of India, in 2015, undertook 'Asset Quality Review of the credit portfolio of all banks to manage ever greening phenomenon of stressed accounts. [8],[9] As a consequence, the gross NPA ratio of public sector banks (PSBs) gone up from 5.0% in March 2015 to 14.6% in March 2018. As the NPAs of the bank increased, so did the requirement of provisioning by banks on their NPAs, which affected the profitability of the banks.

Reserve Bank of India introduced four pronged comprehensive policy to strengthen weak banks viz., (1) Transparent Recognition of NPAs (2) Resolution of NPAs and Recovery (3) Augmentation of capital of weak banks (4) Reform of Financial Ecosystem

The Prompt Corrective Action Framework of RBI brought in sharp focus a set of measures designed to manage the financial distress of weak banks viz, capital, asset quality and profitability. These issues were effectively addressed by the management of these banks under the watchful eyes of RBI.

Dr Urjit Patel, the then Governor of RBI and Dr Viral Acharya, the then Deputy Governor of Reserve Bank of India have played pivotal roles in rolling out PCA Framework of RBI in April 2017.

5.2 *Corporate Governance of Weak Banks in the Wake Of Imposition of PCA framework*

The corporate governance of weak banks improved considerably which is evident from the study of following parameters of weak banks:

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1. **Quality of Assets: Improved:** Gross NPA ratio of Public Sector Banks came down considerably from 14.6% in March 2018 to 5.53% in December 2022
 2. **Provision Coverage Ratio: Improved:** The provision coverage ratio of Public Sector Banks gone up from 46.0% in March 2015 to 89.9% in Dec 2022
 3. **Capital Adequacy Ratio: Improved:** Capital Adequacy Ratio of Public Sector Banks has significantly improved from 11.5% in March 2015 to 14.5% in December 2022
 4. **Profits & Market Cap: Improved:** All Public Sector Banks registered an aggregate profits of Rs 66,543 crores in FY 2021-22. The total market cap of Public Sector Banks increased from Rs 4.52 lakh crores in March 2018 to Rs 10.63 lakh crores in December 2022
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5.3 *Infusion of Capital by Central Government in PSU Banks*

The Central Government has infused capital into Public Sector Banks as follows:

FY	Amount Infused By Central Government (Rs In Crores)
2017-18	88,139
2018-19	1,06,000
2019-20	65,443
2020-21	17,364
2021-22	4,600

5.4 PCA framework Impacted Positively the Corporate Governance of Weak Banks

All the 12 banks, which were placed under PCA framework in April 2017, have come out of it owing to improvement in Corporate Governance of the Weak Banks after they were placed under PCA framework of RBI.[10] The table showing the dates when these banks came out of PCA framework is provided on the next page.

5.5 Latest status of Banks which were placed under PCA framework By RBI

Consequent upon improvements in the financial parameters, all the 12 banks which were placed under PCA Framework of RBI in April 2017, have successfully come out of PCA.

S.N.	Name of Bank	Date of Coming Out of PCA
1.	Allahabad Bank	26 th Feb, 2019
2.	Bank of India	1 st Feb, 2019
3.	Bank of Maharashtra	1 st Feb, 2019
4.	Central Bank of India	20 th Sep, 2022
5.	Corporation Bank	26 th Feb, 2019
6.	Dena Bank	1 st Apr, 2019
7.	IDBI Bank	10 th Mar, 2021
8.	Indian Overseas Bank	29 th Sep, 2021
9.	Oriental Bank of Commerce	1 st Feb, 2019
10.	UCO Bank	8 th Sep, 2021
11.	United Bank of India	1 st April, 2020
12.	Dhanlaxmi Bank Ltd	26 th Feb, 201

Success Of Prompt Corrective Action Framework Of RBI For Weak Banks.

Keeping in view the success of Prompt Corrective Action Framework of RBI, which was imposed on 12 Weak Banks in April 2017, the RBI has now extended Prompt Corrective Action Framework on (i) NBFCs (other than Govt Companies) wef 1st Oct, 2022 (RBI Notification dated Dec 14, 2021), (ii) Government NBFCs wef 1st October, 2024 (Mint: Oct 10, 2023) and (iii) Urban Co-operative Banks wef 1st April 2025 (RBI Notification: Jul 29, 2024).[11],[12].

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